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March 6, 2025

COMMITTEE SUBSTITUTE
FOR

SENATE BILL NO. 132

By: Burns and Green of the
Senate

and

Boles of the House

An Act relating to the Corporation Commission; amending 17 O.S. 2021, Section 53, which relates to plugging wells; establishing maximum time period for plugging certain wells; defining term; directing rule promulgation; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 17 O.S. 2021, Section 53, is amended to read as follows:

Section 53. A. The Corporation Commission is hereby authorized to promulgate rules for the plugging of all abandoned oil and gas wells. Abandoned wells, including shut-in gas wells, shall be plugged under the direction and supervision of Commission employees as may be prescribed by the Commission. Provided, however, the Commission shall not order any oil ~~or gas~~ well to be plugged or closed if the well is located on an otherwise producing oil ~~or gas~~ lease as defined by the Commission, unless such well poses an

1 imminent threat to the public health and safety which shall be
2 determined by the Commission after conducting a public hearing on
3 the matter.

4 B. A shut-in gas well may be shut-in for a period not to exceed
5 seven (7) years.

6 C. 1. Any operator with a gas well that is shut-in prior to
7 the effective date of this act shall have ten (10) years from the
8 effective date of this act to either plug or produce from the well.

9 2. An operator with gas wells that are shut-in prior to the
10 effective date of this act shall reduce the number of shut-in gas
11 wells by plugging or producing from such wells as follows:

12 a. not later than July 1, 2028, by reducing the number of
13 shut-in gas wells by at least twenty-five percent
14 (25%),

15 b. not later than July 1, 2031, by reducing the number of
16 shut-in gas wells by at least fifty percent (50%), and

17 c. not later than July 1, 2035, by plugging or producing
18 from all remaining shut-in gas wells.

19 D. As used in this section, "shut-in gas well" means a well
20 that is capable of producing gas by opening valves or activating
21 existing equipment and is capable of producing gas in paying
22 quantities. Such reasons for nonproduction may include lack of
23 suitable production facilities or lack of a suitable market.
24

1 E. The Commission shall promulgate rules to effectuate the
2 provisions of this section and establish any necessary enforcement
3 measures.

4 SECTION 2. This act shall become effective November 1, 2025.

5 COMMITTEE REPORT BY: COMMITTEE ON ENERGY
6 March 6, 2025 - DO PASS AS AMENDED BY CS